

Fanuc (6954.T)

Reduce TP on estimate cuts, a lower sector multiple and a lower relative premium;
maintain Sell

6954.T 12m Price Target: ¥4,600 Price: ¥6,023 Downside: 23.6%

Fanuc's share price has declined 22% over the past three months, a period spanning the 1Q results at which the production constraints and component procurement difficulties came as a surprise. This significantly underperformed TOPIX (+3%), the average of the 27 stocks in our Japan industrials coverage (-12%) and the FA sector average (-14%).

The status of the resolution of the procurement difficulties — the key focus for the stock — is difficult to gauge from the outside, as there has been no additional disclosure from the company since 1Q results. That said, our channel checks across the FA supply chain indicate that the company-specific procurement difficulties are still ongoing, and we have heard no reports suggesting the situation is on a path to improvement. By contrast, for competing CNC suppliers (Mitsubishi Electric, Syntec and others), we hear positive comments from both the related trading companies and the companies themselves on orders as well as production and shipments. In other words, we continue to see a high probability that the current supply constraints are not an industry-wide phenomenon but rather a company-specific issue at Fanuc, and the resulting risk of market share loss is one of the reasons we maintain our Sell rating.

We cut our operating profit estimates by -0%/-3%/-3%, incorporating the following two points: (1) procurement difficulties and cost inflation across a broad range of components, including ICs, memory and PCBs, are likely to persist for some time; and (2) in light of share and volume trends, we think the company is less likely than in the past to push through aggressive price increases. As a result, our estimates are +3%/-23%/-34% vs LSEG Smart Estimates.

On valuation, in addition to the decline in sector multiples, we lower the sector-relative multiple premium we apply to the stock to reflect change in the competitive landscape, and lower our 12m target price to ¥4,600 from ¥5,600. Retain Sell on coverage-relative basis.

SELL

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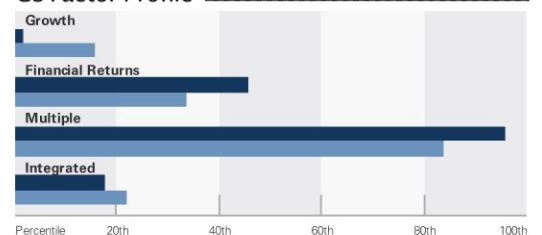
Key Data

Market cap: ¥5.6tr / \$35.5bn
Enterprise value: ¥4.9tr / \$31.2bn
3m ADTV: ¥37.3bn / \$233.3mn
Japan
Japan Industrials
M&A Rank: 3
Leases incl. in net debt & EV?: No

GS Forecast

	3/26	3/27E	3/28E	3/29E
Revenue (¥ bn)	857.8	968.0	914.0	895.0
Op. profit (¥ bn) New	183.8	235.0	195.0	180.0
Op. profit (¥ bn) Old	183.8	236.0	201.0	186.0
Op. profit CoE (¥ bn)	172.9	218.0	—	—
EPS (¥) New	178.5	236.0	194.1	183.7
EPS (¥) Old	178.5	236.9	199.0	188.7
P/E (X)	27.1	25.5	31.0	32.8
P/B (X)	2.4	3.0	2.9	2.9
CROCI (%)	12.5	12.4	10.8	10.3
EPS (¥)	6/26	9/26E	12/26E	3/27E
	54.6	56.3	60.6	64.0

GS Factor Profile



■ 6954.T relative to Japan Coverage
■ 6954.T relative to Japan Industrials

Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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SELL

Fanuc (6954.T)

Rating since Sep 13, 2023

Ratios & Valuation

	3/26	3/27E	3/28E	3/29E
P/E (X)	27.1	25.5	31.0	32.8
P/B (X)	2.4	3.0	2.9	2.9
FCF yield (%)	5.0	1.9	3.0	2.6
EV/EBITDAR (X)	16.3	17.1	19.2	19.8
EV/EBITDA (excl. leases) (X)	16.3	17.1	19.2	19.8
CROCI (%)	12.5	12.4	10.8	10.3
ROE (%)	9.3	11.7	9.4	8.8
Net debt/equity (%)	(40.0)	(36.9)	(38.6)	(39.5)
Net debt/equity (excl. leases) (%)	(40.0)	(36.9)	(38.6)	(39.5)
Interest cover (X)	—	—	—	—
Days inventory outst, sales	127.4	117.2	128.0	125.6
Receivable days	69.5	68.5	74.8	73.4
Days payable outstanding	28.9	31.4	33.1	32.0
DuPont ROE (%)	8.8	11.5	9.3	8.6
Turnover (X)	0.4	0.5	0.4	0.4
Leverage (X)	1.1	1.1	1.1	1.1
Gross cash invested (ex cash) (¥)	1,682.9	1,770.9	1,778.1	1,801.0
Average capital employed (¥)	1,131.2	1,160.8	1,182.5	1,168.7
BVPS (¥)	1,998.4	2,024.2	2,067.8	2,107.1

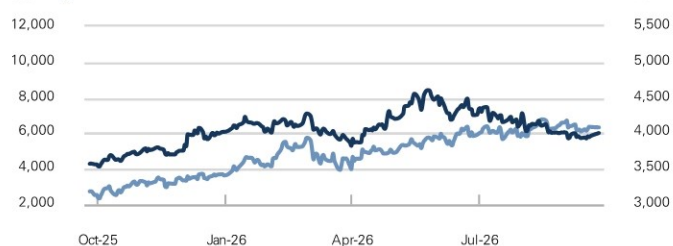
Growth & Margins (%)

	3/26	3/27E	3/28E	3/29E
Total revenue growth	7.6	12.8	(5.6)	(2.1)
EBITDA growth	12.8	23.1	(12.6)	(4.4)
EPS growth	12.9	32.2	(17.8)	(5.4)
DPS growth	12.6	32.7	(18.3)	(5.2)
EBIT margin	21.4	24.3	21.3	20.1
EBITDA margin	27.0	29.4	27.2	26.6
Net income margin	19.4	22.5	19.4	18.6

Price Performance

6954.T (¥)

TOPIX



	3m	6m	12m
Absolute	(18.2)%	4.0%	40.3%
Rel. to the TOPIX	(20.6)%	(9.3)%	8.9%

Source: FactSet. Price as of 24 Sep 2026 close.

Income Statement (¥ bn)

	3/26	3/27E	3/28E	3/29E
Total revenue	857.8	968.0	914.0	895.0
Cost of goods sold	(529.4)	(573.0)	(559.0)	(557.0)
SG&A	(144.7)	(160.0)	(160.0)	(158.0)
R&D	—	—	—	—
Other operating inc./exp.)	—	—	—	—
EBITDA	231.6	285.0	249.0	238.0
Depreciation & amortization	(47.8)	(50.0)	(54.0)	(58.0)
EBIT	183.8	235.0	195.0	180.0
Net interest inc./exp.)	10.9	10.5	10.5	10.5
Income/(loss) from associates	30.5	50.0	36.0	36.0
Pre-tax profit	227.7	295.5	241.5	226.5
Provision for taxes	(58.1)	(73.9)	(60.4)	(56.6)
Minority interest	(2.9)	(3.5)	(3.5)	(3.5)
Preferred dividends	—	—	—	—
Net inc. (pre-exceptionals)	166.5	218.1	177.6	166.4
Post-tax exceptionals	—	—	—	—
Net inc. (post-exceptionals)	166.5	218.1	177.6	166.4
EPS (basic, pre-exception) (¥)	178.5	236.0	194.1	183.7
EPS (diluted, pre-exception) (¥)	178.5	236.0	194.1	183.7
EPS (basic, post-exception) (¥)	178.5	236.0	194.1	183.7
EPS (diluted, post-exception) (¥)	178.5	236.0	194.1	183.7
DPS (¥)	107.0	142.0	116.0	110.0
Div. payout ratio (%)	60.0	60.2	59.8	59.9

Balance Sheet (¥ bn)

	3/26	3/27E	3/28E	3/29E
Cash & cash equivalents	753.9	696.0	737.7	761.7
Accounts receivable	170.8	192.7	182.0	178.2
Inventory	292.2	329.7	311.3	304.8
Other current assets	20.2	20.2	20.2	20.2
Total current assets	1,237.0	1,238.6	1,251.2	1,264.9
Net PP&E	591.4	601.4	607.4	609.4
Net intangibles	8.5	8.5	8.5	8.5
Total investments	192.2	192.2	192.2	192.2
Other long-term assets	61.5	61.5	61.5	61.5
Total assets	2,090.7	2,102.3	2,120.9	2,136.6
Accounts payable	46.3	52.2	49.3	48.3
Short-term debt	—	—	—	—
Short-term lease liabilities	—	—	—	—
Other current liabilities	133.2	133.2	133.2	133.2
Total current liabilities	179.5	185.4	182.5	181.5
Long-term debt	—	—	—	—
Long-term lease liabilities	—	—	—	—
Other long-term liabilities	28.3	28.3	28.3	28.3
Total long-term liabilities	28.3	28.3	28.3	28.3
Total liabilities	207.8	213.7	210.8	209.8
Preferred shares	—	—	—	—
Total common equity	1,864.9	1,870.5	1,892.0	1,908.8
Minority interest	18.1	18.1	18.1	18.1
Total liabilities & equity	2,090.7	2,102.3	2,120.9	2,136.6
Net debt, adjusted	(753.9)	(696.0)	(737.7)	(761.7)

Cash Flow (¥ bn)

	3/26	3/27E	3/28E	3/29E
Net income	166.5	218.1	177.6	166.4
D&A add-back	47.8	50.0	54.0	58.0
Minority interest add-back	2.9	3.5	3.5	3.5
Net (inc)/dec working capital	32.7	(53.5)	26.2	9.2
Other operating cash flow	1.0	(50.0)	(36.0)	(36.0)
Cash flow from operations	250.9	168.1	225.3	201.1
Capital expenditures	(22.0)	(60.0)	(60.0)	(60.0)
Acquisitions	—	—	—	—
Divestitures	—	—	—	—
Others	(34.4)	—	—	—
Cash flow from investing	(56.4)	(60.0)	(60.0)	(60.0)
Repayment of lease liabilities	—	—	—	—
Dividends paid (common & pref)	(94.5)	(131.2)	(106.1)	(99.6)
Inc/(dec) in debt	—	—	—	—
Other financing cash flows	(4.1)	(34.7)	(17.5)	(17.5)
Cash flow from financing	(98.6)	(165.9)	(123.6)	(117.1)
Total cash flow	147.4	(57.8)	41.7	24.0
Free cash flow	228.9	108.1	165.3	141.1

Source: Company data, Goldman Sachs Research estimates.

Our current view

We maintain our Sell rating. In our view, Fanuc is facing a set of difficulties that is qualitatively different from those of past cycles. In particular, supply constraints stemming from company-specific procurement difficulties are a phenomenon with almost no precedent since the global financial crisis.

Looking back at past episodes in which supply of the company's products (Robodrills and CNCs) tightened, the 2014–2015 period, when demand for smartphone casing machining surged, stands out. In that instance, however, the binding constraint was purely a surge in demand, and the company was able to respond by expanding capacity — principally through headcount additions — and extending operating hours. Moreover, the pullback on the demand side (the completion of the casing-related investment cycle) arrived early, and the situation therefore never became acute. The current episode is fundamentally different in that the constraint originates on the supply/procurement side and is not readily resolved in the short term through self-help measures. It is also distinct in that, unlike during the COVID period when essentially all FA players faced the same problem, the strain appears notably more severe at Fanuc specifically.

Our channel checks across the FA supply chain likewise suggest that, while Fanuc's orders appear to be running strongly, production and shipments remain sluggish owing to the procurement difficulties. At competitors Mitsubishi Electric and Syntec, by contrast, we hear of no notable disruption in orders, sales or component procurement. At this stage we cannot pinpoint whether this divergence stems from differences in procurement networks or order scale, or from differences in component qualification processes. What we do focus on, however, is the potential consequence: a decline in Fanuc's market share, and progress toward dual sourcing on the part of customers. Either could undermine the position Fanuc has built as an unassailable top-tier supplier, and we regard this as the single largest concern. We think the erosion of competitive advantage from the rise of competitors is most likely to become visible in mainland China, one of the pillars of the company's earnings, and we will need to watch closely whether that business, like those of many other Japanese companies before it, ends up on a path of managed contraction.

Our estimates

We have revised our estimates, principally to reflect a review of our cost assumptions, and on the assumption that orders will peak in 1Q FY3/27 (Apr-Jun) and then decelerate gradually. We now forecast operating profit of ¥235 bn for FY3/27 (previously ¥236 bn), ¥195 bn for FY3/28 (previously ¥201 bn) and ¥180 bn for FY3/29 (previously ¥186 bn). The cuts are driven by two factors: (1) our view that procurement difficulties and cost inflation will persist for some time across a broad range of components, including ICs generally, memory and PCBs; and (2) our view that, in light of share and volume trends, the company is less likely than in the past to push through aggressive price increases. We would emphasize that our forecast of declining profits through FY3/29 is unchanged from our previous frame of reference (we assume a decline in orders in non-semiconductor areas), and reflects the cost factors and market share loss risk noted above rather than any further deterioration in end-demand conditions.

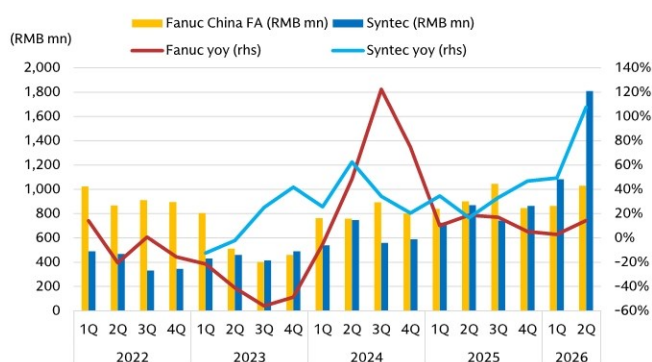
For 2Q FY3/27, we forecast orders of ¥247 bn (+20% yoy, -12% qoq), sales of ¥234 bn and operating profit of ¥55 bn. We expect attention to center on whether production

constraints have eased relative to 1Q, the extent of any impact on orders, and how the company's full-year operating profit guidance of ¥218 bn is revised in light of these developments (the company has a strong tendency to revise full-year guidance in a flexible manner, even by small amounts). Our FY3/27 forecast is around 8% above company guidance, which we attribute to conservative FX and cost assumptions embedded in that guidance.

Valuation

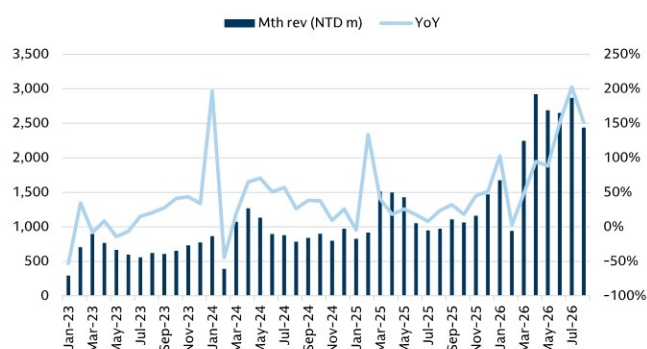
Reflecting the decline in machinery sector multiples, we lower our fair sector EV/EBITDA multiple to 9X from 10X. Alongside this, we lower the sector-relative multiple premium applied to the stock to 60% from 70%. We also roll our valuation base period forward by six months, to the average of FY3/28 and FY3/29 from FY3/28. As a result, our 12-month target price goes to ¥4,600 from ¥5,600, implying downside of 18% to the current share price. We maintain our Sell rating on a coverage-relative basis.

Exhibit 1: Fanuc vs Syntec - Sales comparison, in the same currency basis



Source: Company data

Exhibit 2: Syntec - Trends in monthly sales

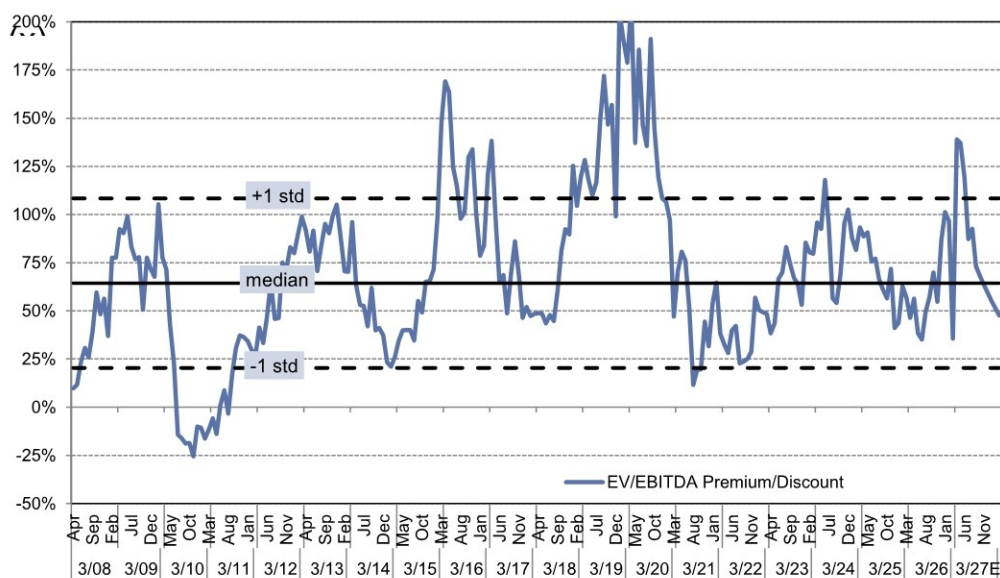


Source: Company data

Exhibit 3: Fanuc: Earnings summary at a glance

Fanuc (6954.T) (mn JPY, JPY, %)	3/2025 Actual	3/2026 Actual	3/2027E New	3/2028E New	3/2029E New	3/27 CoE	1Q 3/26 Actual	2Q 3/26 Actual	3Q 3/26 Actual	4Q 3/26 Actual	1Q 3/27 Actual	2Q 3/27 GSe	3Q 3/27 GSe	4Q 3/27 GSe
Financial Data														
Sales	797,129	857,831	968,000	914,000	895,000	948,100	196,363	211,205	215,744	234,519	231,035	234,000	241,000	261,965
Gross profits	294,925	328,466	395,000	355,000	338,000	371,300	76,607	79,001	78,620	94,238	91,094	-	-	-
Operating profits	158,846	183,763	235,000	195,000	180,000	218,000	42,428	43,536	41,740	56,059	53,492	55,000	59,000	67,508
Net profits	147,557	166,543	218,100	177,600	166,400	198,000	37,844	41,976	37,042	49,681	50,981	52,000	56,000	59,119
EBITDA	205,294	231,563	285,000	249,000	238,000	-	53,528	55,036	53,740	69,259	64,692	-	-	-
R&D expenses	46,700	45,000	48,000	46,000	45,000	-	10,800	11,600	11,100	11,500	10,800			
(As a % of Sales)	5.9%	5.2%	5.0%	5.0%	5.0%	-	5.5%	5.5%	5.1%	4.9%	4.7%			
DEPRECIATION	46,448	47,800	50,000	54,000	58,000	-	11,100	11,500	12,000	13,200	11,200			
(As a % of Sales)	5.8%	5.6%	5.2%	5.9%	6.5%	-	5.7%	5.4%	5.6%	5.6%	4.8%			
CAPEX	40,100	22,000	60,000	60,000	60,000	-	4,900	5,300	5,300	6,500	7,400			
(As a % of Sales)	5.0%	2.6%	6.2%	6.6%	6.7%	-	2.5%	2.5%	2.5%	2.8%	3.2%			
As a % of Sales														
Gross profits	37.0%	38.3%	40.8%	38.8%	37.8%	39.2%	39.0%	37.4%	36.4%	40.2%	39.4%			
Operating profits	19.9%	21.4%	24.3%	21.3%	20.1%	23.0%	21.6%	20.6%	19.3%	23.9%	23.2%	23.5%	24.5%	25.8%
Net profits	18.5%	19.4%	22.5%	19.4%	18.6%	20.9%	19.3%	19.9%	17.2%	21.2%	22.1%	22.2%	23.2%	22.6%
EBITDA	25.8%	27.0%	29.4%	27.2%	26.6%	-	27.3%	26.1%	24.9%	29.5%	28.0%			
YoY % change														
Sales	0.2%	7.6%	12.8%	-5.6%	-2.1%	10.5%	0.6%	9.5%	9.5%	10.6%	17.7%			
Gross profits	6.9%	11.4%	20.3%	-10.1%	-4.8%	13.0%	13.1%	3.2%	14.8%	14.7%	18.9%			
Operating profits	11.9%	15.7%	27.9%	-17.0%	-7.7%	18.6%	28.7%	2.1%	19.6%	15.9%	26.1%	26.3%	41.4%	20.4%
Net income	10.8%	12.9%	31.0%	-18.6%	-6.3%	18.9%	25.3%	5.0%	15.0%	19.1%	32.3%	23.9%	51.2%	19.0%
EBITDA	7.5%	12.8%	23.1%	-12.6%	-4.4%	-	27.3%	26.1%	24.9%	29.5%	28.0%			
OP inc/dec analysis (YoY)	YoY	YoY	YoY	YoY	YoY		YoY	YoY	YoY	YoY	YoY	YoY	YoY	YoY
Sales chg	-600	25,800	36,062	-26,339	-10,335	-	3,200	4,300	7,300	11,500	8,100	-	-	-
Unrealized gain (inventories)	15,200	-5,700	0	-1,000	2,000	-	4,400	-2,300	1,000	-3,500	-1,200	-	-	-
SGnA chg	1,400	-6,300	-17,497	-4,000	-2,000	-	-400	1,100	-2,200	-2,600	-1,200	-	-	-
COGS chg	-10,100	13,200	32,900	-9,100	-4,500	-	2,400	-5,800	3,300	4,100	2,000	-	-	-
Others (FX, mix included)	11,000	-2,000	-200	400	-200	-	-200	1,100	-2,600	-1,700	3,400	-	-	-
Total	16,900	24,900	51,200	-40,000	-15,000	-	9,470	906	6,832	7,709	11,064	-	-	-
OP inc/dec analysis (QoQ)														
Sales inc./dec.	-	-	-	-	-	-	-4,500	2,000	-500	11,300	-4,000	1,590	5,900	11,370
Forex chg.	-	-	-	-	-	-	-2,100	-1,600	-2,000	2,500	-100	0	0	0
Fixed costs chg.	-	-	-	-	-	-	-600	-500	-600	-900	800	0	-500	-500
Variable costs chg.	-	-	-	-	-	-	2,400	-400	900	1,300	300	0	-1,000	-1,000
Other items	-	-	-	-	-	-	-1,200	1,600	400	200	400	0	0	0
Total	-	-	-	-	-	-	-5,922	1,108	-1,796	14,319	-2,567	1,508	4,000	8,508
Sales by segment														
FA	194,824	208,500	261,000	228,000	219,000	-	49,700	54,200	49,800	54,800	57,400	58,000	70,000	75,000
Robotics	330,000	379,000	407,000	419,000	415,000	-	81,000	91,600	96,600	109,400	96,100	100,000	100,000	110,000
Robomachines	137,588	129,600	152,000	114,000	103,000	-	33,900	29,600	33,000	33,100	41,700	40,000	35,000	35,000
Services	135,151	141,100	148,000	153,000	158,000	-	31,763	35,805	36,344	37,219	35,835	36,000	36,000	41,965
Consolidated sales	797,129	857,831	968,000	914,000	895,000	948,100	196,363	211,205	215,744	234,519	231,035	234,000	241,000	261,965
Sales by segment, YoY/QoQ (%)														
FA	8%	7%	25%	-13%	-4%		5%	9%	-8%	10%	5%	1%	21%	7%
Robots	-13%	15%	7%	3%	-1%		-7%	13%	5%	13%	-12%	4%	0%	10%
Robomachines	33%	-6%	17%	-25%	-10%		-24%	-13%	11%	0%	26%	-4%	-13%	0%
Services	4%	4%	5%	3%	3%		-3%	13%	2%	2%	-4%	0%	0%	17%
Consolidated sales	0%	8%	13%	-6%	-2%		-7%	8%	2%	9%	-1%	1%	3%	9%
Orders by segment														
FA	202,200	229,600	261,000	228,000	219,000		55,000	48,800	54,700	71,100	90,200	70,000	65,000	65,000
Robotics	317,300	381,800	407,000	419,000	415,000		90,600	91,800	98,800	100,600	97,900	95,000	90,000	90,000
Robomachines	144,000	133,300	152,000	114,000	103,000		29,000	29,700	30,800	43,800	57,600	45,000	40,000	40,000
Services	132,700	138,700	148,000	153,000	158,000		31,200	35,100	35,900	36,500	36,300	37,000	37,000	37,000
Total orders	796,200	883,400	968,000	914,000	895,000		205,900	205,300	220,200	252,000	281,900	247,000	232,000	232,000

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 4: Fanuc: Trends in Sector Relative EV/EBITDA premium

Source: Company data, LSEG Data & Analytics, Goldman Sachs Global Investment Research

Price Target Risks and Methodology - Fanuc (6954.T)

Our 12-month target price of ¥4,600 is based on FY3/28E-FY3/29E EV/EBITDA, applying the sector-average multiple of 9X and a 60% sector-relative premium.

Key upside risks include sales in the FA business recovering to levels above past peaks, greater-than-expected improvement in robot business margins, and share buybacks or other moves to strengthen shareholder returns.

Disclosure Appendix

Reg AC

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Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

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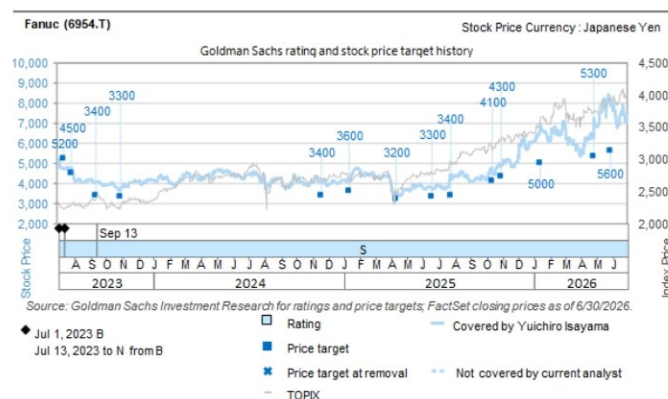
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Goldman Sachs Investment Research global Equity coverage universe

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Target price history table(s)

Fanuc (6954.T)

Date of report	Target price (¥)	Closing price (¥)
28-May-26	5,600	7,984
26-Apr-26	5,300	6,256
14-Jan-26	5,000	6,935
31-Oct-25	4,300	4,909
13-Oct-25	4,100	4,780
25-Jul-25	3,400	4,220
20-Jun-25	3,300	3,713
11-Apr-25	3,200	3,388
12-Jan-25	3,600	4,116
19-Nov-24	3,400	4,099
31-Oct-23	3,300	3,653

Price targets shown in table(s) are unadjusted for corporate actions.

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